

A Family of Four, One Wage Earner, a House and a Car — Did American Workers Really Have Such Good Days?

Zhihu · 2026-01-24

Post-war America did experience a wonderful period. In the 1950s and 1960s, a working-class family needed only one wage earner to live a "middle-class" life.

Of course, the range of consumer goods back then was not what it is today, but a single male worker's income could buy a house and a car, and the children's toys and clothes were basically bought new — does that not seem incredible? Today's American working class, with both husband and wife earning, still cannot make ends meet.

Photo of a Detroit family titled "Factory hand at Ford", which was taken by a visitor from Japan, 1954.

一张底特律家庭的照片，题为“福特工厂工人”，由一位日本游客于1954年拍摄。



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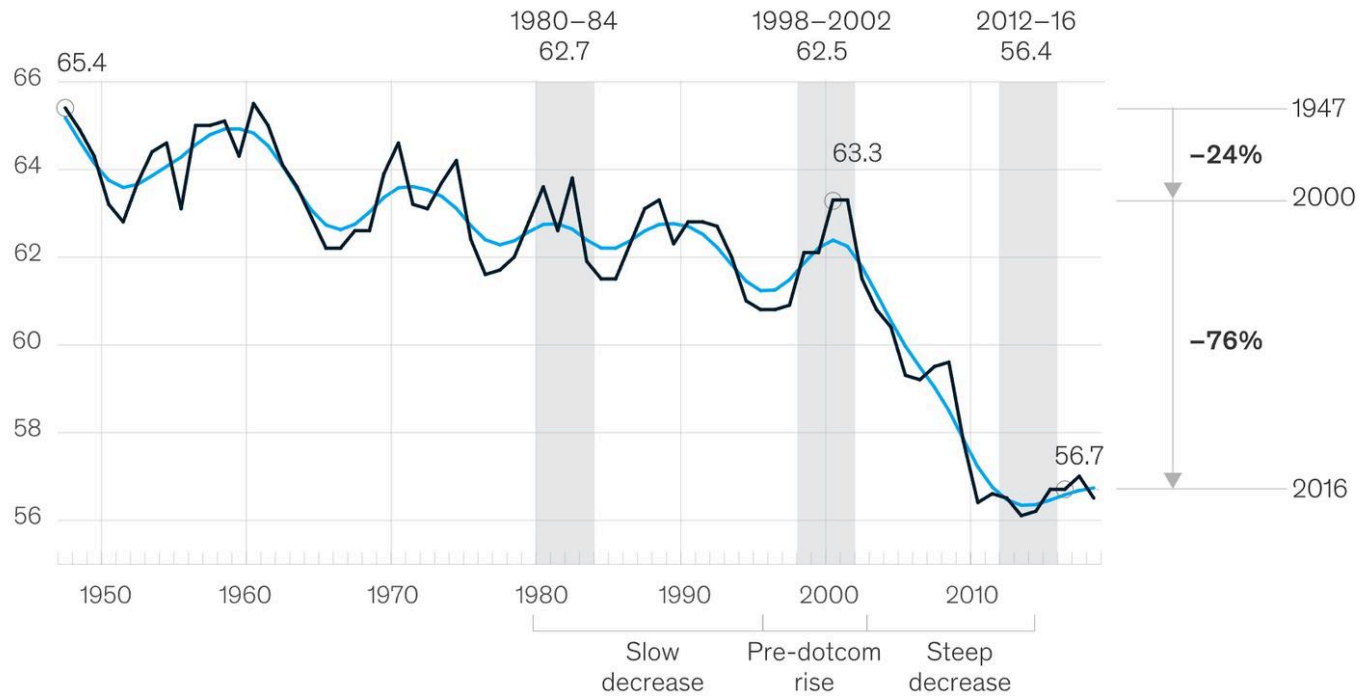
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So many people ask: where did the American working class's good days come from? According to many Chinese, they must have been robbed from other countries. Their reasoning: China's industry is now so strong, yet life is still so hard — all because China has no hegemony. Once China obtains hegemony, even ordinary workers can enjoy a good life with car and house.

But if you ask the American left, they will surely say: this was because the post-war American unions were strong, workers had strong bargaining power, and the pressure of the Soviet Union made America afraid to easily take back the reformist gains of the working class — a combination of factors that kept the share of output going to American workers high.

Looking at the statistics on the labour share of income, it is true that the labour share declined after the 1980s, especially after 2000.

Labor share of nonfarm business sector,¹ total compensation share of gross value added, %

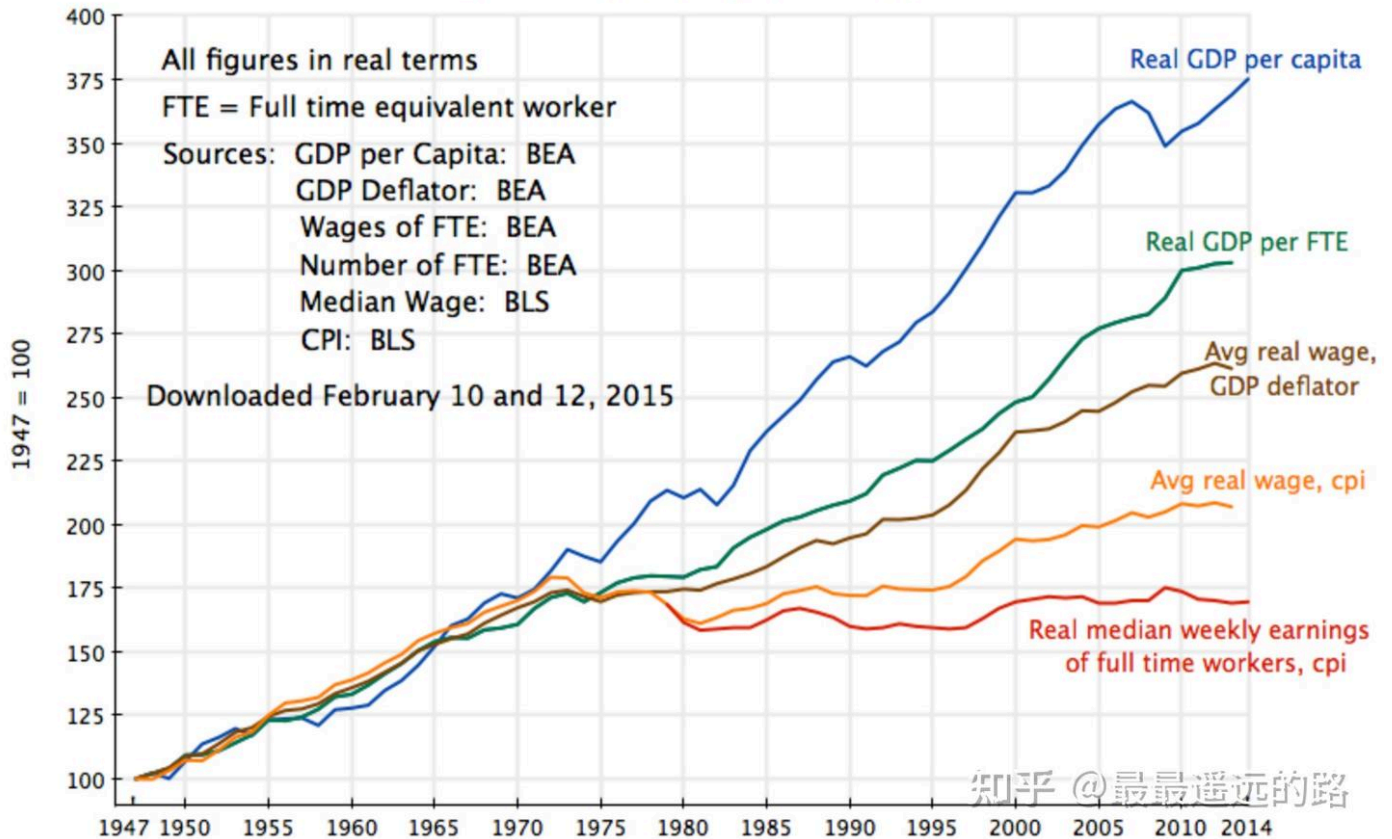


¹Detrended using Hodrick-Prescott filter (restriction parameter = 6); adjusted for self-employed income (nonfarm business sector only). Source: BLS (March 2019 release); McKinsey Global Institute analysis

Source: <https://www.mckinsey.com/featured-insights/employment-and-growth/a-new-look-at-the-declining-labor-share-of-income-in-the-united-states>

Looking at the relationship between wages and per-capita GDP: before 1980, especially between 1955 and 1965, real wage growth was markedly higher than per-capita GDP growth. After 1980, although per-capita GDP kept growing, real wages basically did not change.

From GDP per Capita to Median Wage 1947 to 2013/14, 1947 = 100



Source: <https://aneconomicsense.org/wp-content/uploads/2015/02/going-from-gdp-per-capita-to-median-wage-1947-to-2013142.png>

So, from the statistics, the relative decline of the American working class's living standards is indeed caused by distribution. But this can only show that the American working class's improvement in living standards was smaller relative to the bourgeoisie; it cannot show that in the 1960s a family of four could live on one person's wage.

For Most People, the Good Old Days Weren't That Good

The median American family income in 1960 was \$5,600^{[1][2][3]}, while the average wage of American workers was \$4,007. I could not find the 1960 figure, but a 1963 survey shows that the average wage of American auto workers was \$2.90 an hour, which over a year (52 weeks) comes to \$5,800. So the legend that in post-war America one male worker could support a family does have a basis for relatively better-paid workers — a General Motors worker could indeed support a family without trouble.

However, according to official US statistics, the median wage of male workers in 1960 was \$3,371, and of female workers \$2,152. So in a median-income family both adults worked; their combined

wages roughly equalled the median family income, somewhat less than the average wage of an auto worker. Hence the popular American legend that in the 1960s a man working alone could support a family of four is actually groundless. Such families did exist, but only among higher-paid workers such as auto workers. For other workers, both adults in the family had to work. As for workers of colour, their median wage was less than half that of white workers; even with both spouses working, life was probably relatively hard. According to the US poverty line of \$3,335 for a family of four in 1966 (I could not find 1960)^[4], most non-white American families must have been below the poverty line:

Table F.--INCOME IN 1960 OF UNRELATED INDIVIDUALS 14 TO 64 YEARS AND 65 YEARS AND OVER, BY SELECTED CHARACTERISTICS, FOR THE UNITED STATES

(Percent and median not shown where base is less than 200,000)

Selected characteristics	All unrelated individuals		14 to 64 years				65 years and over				
	Total	Percent 65 years and over	Total	Median income	Percent with income of--		Total	Median income	Percent with income of--		
					Under \$2,000	\$5,000 and over			Under \$1,000	\$1,000 to \$1,999	\$5,000 and over
Number.....thousands..	10,900	...	7,247	...	...	...	3,653	...	...	...	...
SEX											
Total.....	100.0	33.5	100.0	\$2,571	41.2	18.6	100.0	\$1,053	47.7	31.7	4.0
Male.....	38.5	24.0	44.0	3,371	33.4	27.9	27.5	1,313	34.6	38.1	6.0
Female.....	61.5	39.5	56.0	2,152	47.3	11.5	72.5	960	52.9	29.1	3.1
TYPE OF INDIVIDUAL											
Total.....	100.0	33.5	100.0	\$2,571	41.2	18.6	100.0	\$1,053	47.7	31.7	4.0
Primary.....	73.5	41.1	65.1	2,964	35.9	21.6	90.3	1,060	47.3	32.0	4.0
Secondary.....	26.5	12.3	34.9	1,916	50.9	13.0	9.7	988	50.7	30.3	3.8
FARM-NONFARM RESIDENCE											
Total.....	100.0	33.5	100.0	\$2,571	41.2	18.6	100.0	\$1,053	47.7	31.7	4.0
Nonfarm.....	96.6	33.3	96.9	2,625	40.3	18.9	96.0	1,073	46.9	31.9	4.3
Farm.....	3.4	39.2	3.1	989	71.9	9.4	4.0	...	...	...	...
COLOR											
Total.....	100.0	33.5	100.0	\$2,571	41.2	18.6	100.0	\$1,053	47.7	31.7	4.0
White.....	86.3	35.9	83.2	2,884	37.5	20.9	92.3	1,095	45.9	32.5	4.2
Nonwhite.....	13.7	18.8	16.8	1,307	60.3	7.2	7.7	805	69.4	22.2	1.5
SOURCE OF INCOME											
Total ¹	100.0	33.5	100.0	\$2,571	41.2	18.6	100.0	\$1,053	47.7	31.7	4.0
Earnings only.....	39.4	5.4	56.5	2,972	33.6	18.6	6.1	2,021	37.9	11.8	11.1
Earnings and income other than earnings.....	23.6	28.8	25.4	3,538	27.1	29.7	19.4	1,800	24.4	32.1	30.8
Other income; no earnings.....	30.0	81.1	9.2	1,028	81.2	1.7	70.1	976	52.7	35.3	2.8

¹ Includes individuals reporting no money income, not shown separately.

Source: <https://www2.census.gov/library/publications/1962/demographics/p60-37.pdf>

If Wages Had Grown in Step with Productivity

But we can analyse: if the bargaining power of the American working class had not been greatly weakened by neoliberalism, and wages had been able to follow productivity growth and grow with real per-capita GDP, what income level could the working class have reached?

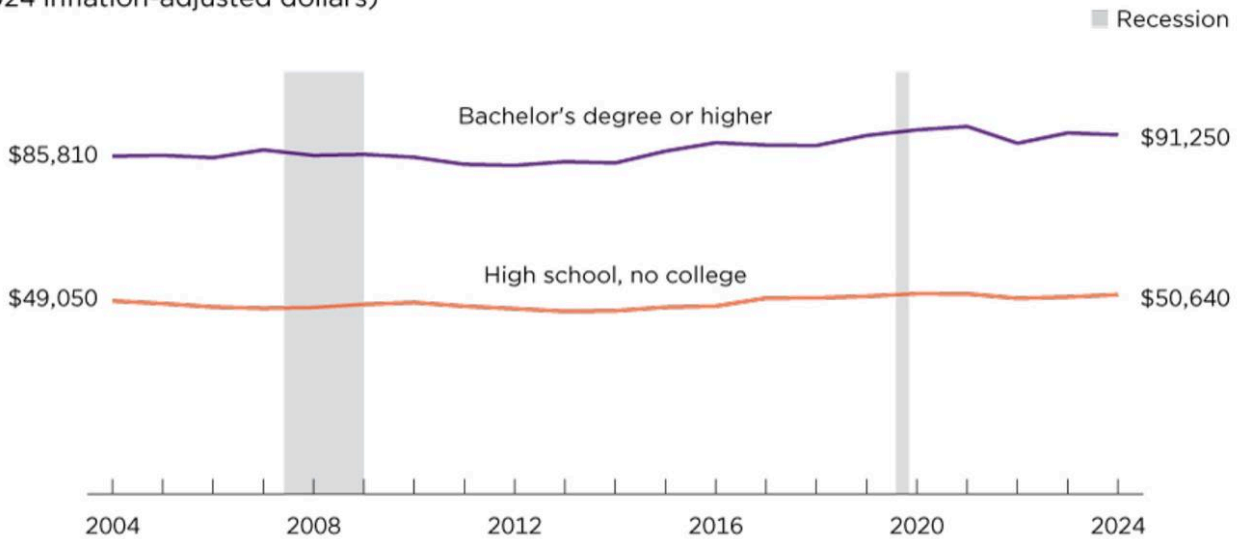
Figures like GDP and wage rates are too abstract to give an intuitive feel. We can map the America of 1960 onto 2024 for a relatively intuitive comparison.

Converted to 2024 dollars^[5], \$5,600 is equivalent to \$59,313, \$4,007 to \$42,441 and \$5,800 to \$61,432; the median American family income in 2024 was \$83,730 — meaning that in these 60 years the real income of American families grew only about 40%. A worker with a high-school diploma earns \$50,000 — less than 20% growth over the national average wage of 1960.

Figure 2.

Median Earnings of U.S. Full-Time, Year-Round Workers by Educational Attainment: 2004–2024

(2024 inflation-adjusted dollars)



Note: People 25 years and older, as of March of the following year, with earnings. The data points are placed at the midpoints of the respective years. Definitions and information on confidentiality protection and sampling and nonsampling information are available at <https://www2.census.gov/programs-surveys/cps/techdocs/cpsmar25.pdf>.

Source: U.S. Census Bureau, Current Population Survey, 2005–2025 Annual Social and Economic Supplements (CPS ASEC; DMS number P-7534374, DRB approval number CBDRB-FY25-SEHSD003-097).

Source: <https://www.census.gov/library/stories/2025/09/education-and-income.html>

In constant 2010 dollars, US per-capita GDP was \$18,899 in 1960 and \$66,356 in 2024 — a 3.5-fold increase. But real wages, as analysed above, basically did not rise. If workers' wages had been able to follow per-capita GDP — even at only 80% of its growth, not the full synchronised growth of the 1960s — the wage of an ordinary 1960 family would have risen to $59,313 \times 3.5 \times 0.8 = \$166,076$ — double the current median of \$83,730, and truly material abundance.

★ Constant GDP per capita for the United States (NYGDPPCAPKDUSA)

Observations ▾

2024: 66,356.17068

Updated: Dec 17, 2025 3:22 PM CST

Next Release Date: Not Available

Units:

2010 U.S. Dollars,
Not Seasonally Adjusted

Frequency:

Annual

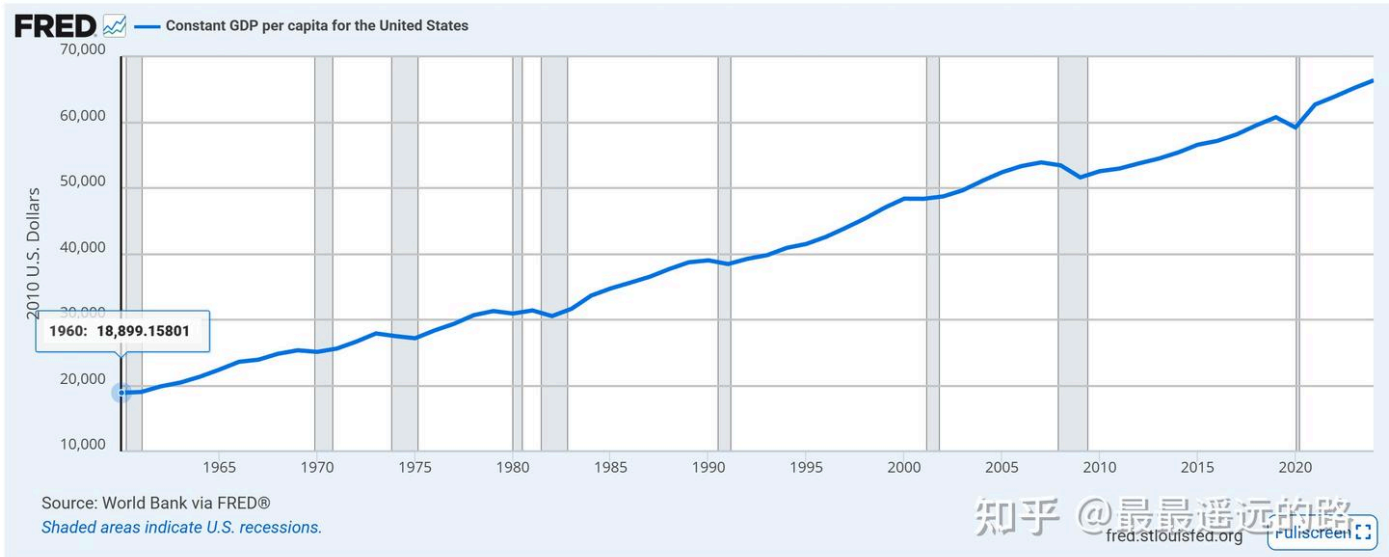
1Y | 5Y | 10Y | Max

1960-01-01 to 2024-01-01

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Source: <https://fred.stlouisfed.org/series/NYGDPPCAPKDUSA>

Of course, this is only a hypothetical. In the late 1970s, America and the other advanced industrial countries fell into stagflation, with the rate of profit falling sharply and growth flagging. Without the neoliberal reforms to restore the rate of profit — and short of a socialist revolution that transcends the economic logic of capitalism — recovery was very hard.

Why Has Life Become Harder and Harder?

Although American workers' wages did not rise much, why has it come to the point that two wage earners cannot support a family? Why has life become so hard?

Let us look at the American household expenditures of 1960. The big items: food \$1,234, transportation \$770, shelter \$658, medical care \$340, personal insurance \$299. Converted to 2024 dollars: \$13,070, \$8,155, \$6,969, \$3,601, and \$3,167 respectively. Compared with the 2024 data^[6]: food spending is \$10,169, transportation \$13,318, housing \$26,266, medical care \$6,197, and personal insurance \$9,797. Food and transportation are rigid consumption; beyond them, housing has added \$20,000 in spending, medical care about \$2,600, insurance \$6,630 — these three items sum to \$29,230. Take the worker's average annual wage of \$50,000 and add this nearly \$30,000 difference, and you basically arrive at the 2024 median family income of \$83,730. As for the auto workers with their high 1960s incomes — their individual income converted to 2024 is \$61,432; adding \$29,230 gives \$90,000, certainly enough for a family.

Table 12. Comparison of income, expenditures, and changes in savings as reported in the 1960-61 CES with estimates based on CES reports adjusted by Office of Business Economics income distribution of families and unrelated individuals, total urban and rural United States

Category	Average per CU		Percent distribution of expenditures		Aggregate (millions)		
	1960-61 unadjusted	1961 ² adjusted	Unadjusted	Adjusted	Unadjusted (U)	Adjusted (A)	Difference (A) - (U)
Money income before taxes -----	\$6,246	\$7,054	-	-	\$345,425	\$395,054	\$49,629
Other money receipts -----	81	96	-	-	4,495	5,380	885
Money income after taxes -----	5,557	6,181	-	-	307,362	340,178	38,816
Expenditures for current consumption, totals -----	5,054	5,398	100.0	100.0	279,497	302,289	22,792
Food -----	1,234	1,291	24.4	23.9	68,274	72,295	4,021
Alcoholic beverages -----	78	83	1.5	1.5	4,306	4,627	321
Tobacco -----	91	92	1.8	1.7	5,032	5,141	109
Shelter -----	658	700	13.0	13.0	36,398	39,175	2,777
Other real estate -----	6	8	.2	.1	338	453	115
Fuel, light, and refrigeration -----	249	262	4.9	4.9	13,787	14,686	899
Household operations -----	288	319	5.7	5.9	15,954	17,860	1,906
Housefurnishings and equipment -----	266	279	5.3	5.2	14,695	15,652	957
Clothing, clothing materials, and services -----	518	570	10.3	10.6	23,673	31,949	8,276
Transportation -----	770	813	15.2	15.1	42,581	45,545	2,964
Medical care -----	340	365	6.7	6.8	18,802	20,452	1,650
Personal care -----	145	154	2.9	2.8	8,034	8,601	567
Recreation, reading, and education -----	298	332	5.9	6.1	16,443	18,605	2,162
Miscellaneous -----	111	129	2.2	2.4	6,132	7,244	1,112
Gifts and contributions -----	280	320	-	-	15,490	17,923	2,433
Personal insurance -----	299	330	-	-	16,523	18,463	1,940
Net change in assets and liabilities -----	199	386	-	-	10,993	21,614	10,621
Account balancing difference -----	-186	-156	-	-	-10,287	-8,744	1,543

¹ Adjusted to (a) exclude 1960 urban data; (b) reflect increase from 1960 to 1961 in estimated number of consumer units (from 55,306,000 to 56,003,000); and (c) reflect CBE distribution of families and unattached individuals among income classes. See text, pp. 56-58.

² Excludes occupational expenses (averaging \$39) and includes gifts of cash from persons outside the consumer unit (averaging \$46), which account for difference in average money income before taxes from that shown in table 13.

NOTE: Because of rounding, sums of individual items may not equal totals.

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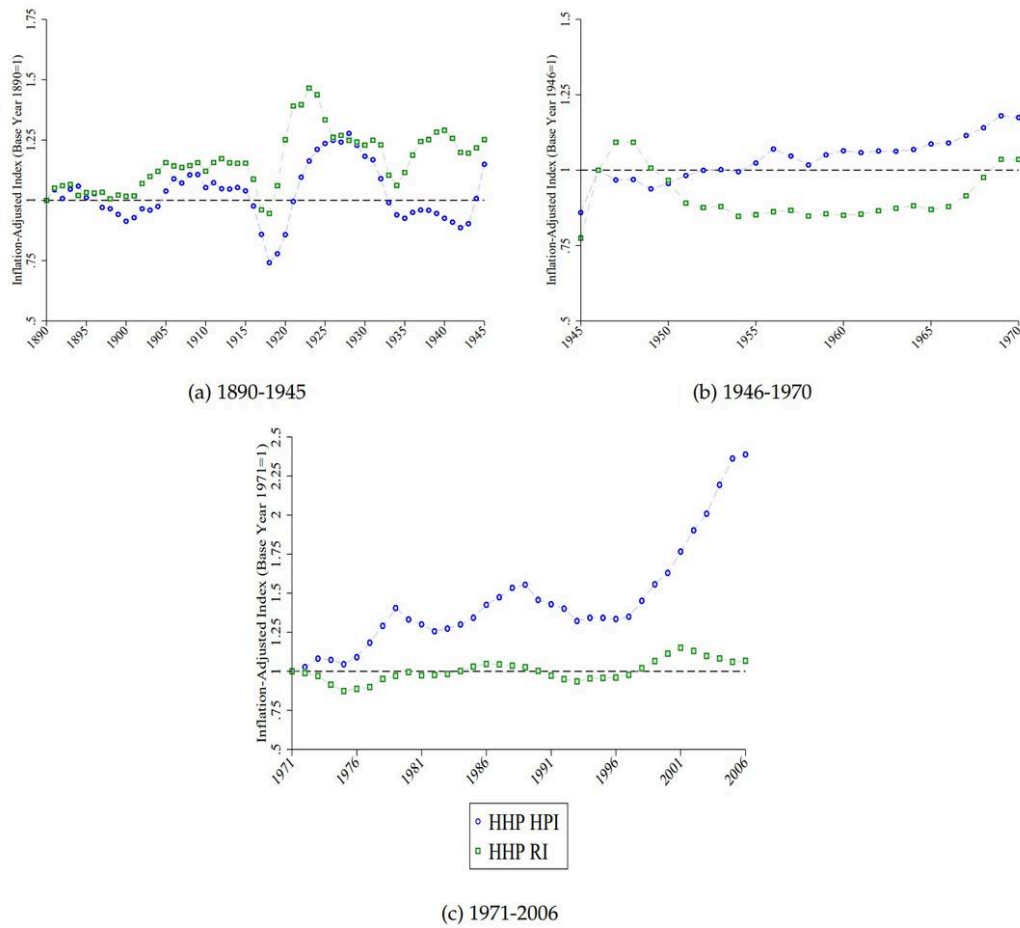
Source: https://www.bls.gov/cex/research_papers/pdf/1960-to-1961-biennial-report.pdf

Let me analyse housing and medical care in more detail.

Housing

American house prices (blue in the chart below) basically did not rise between the post-war period and 1970, and rents (green) were low too.

Figure 4: HHP RI and HPI



Note: These figures plot the baseline real housing price index (HPI) and rental index (RI) aggregated by population. Both series are plotted in real terms using the Officer-Williamson (<https://measuringworth.com/>) CPI.

Source: "The Price of Housing in the United States, 1890-2006,"

<https://www.philadelphiafed.org/-/media/frbp/assets/working-papers/2024/wp24-12.pdf>

The period analysed in the paper above ends in 2006, so the rent increase looks small. But since 2000, rent increases have exceeded the CPI, accumulating 40%; in big cities with continuous population inflow such as New York and San Francisco, the increase is greater. Compared with renting, the long-run increase of purchase prices is greater. In 1960, the median American house price was \$11,900, or \$104,166 in 2020 dollars. By 2020, the median American house price was \$336,900^[7], a 3.23-fold increase over 1960. Calculated by the US government on the basis of household expenditure, the figures come out close — after all, the American homeownership rate is over 60%.

U.S. Rent Prices Have Exceeded Inflation by 40% Since 1985

Rent Prices vs. Inflation

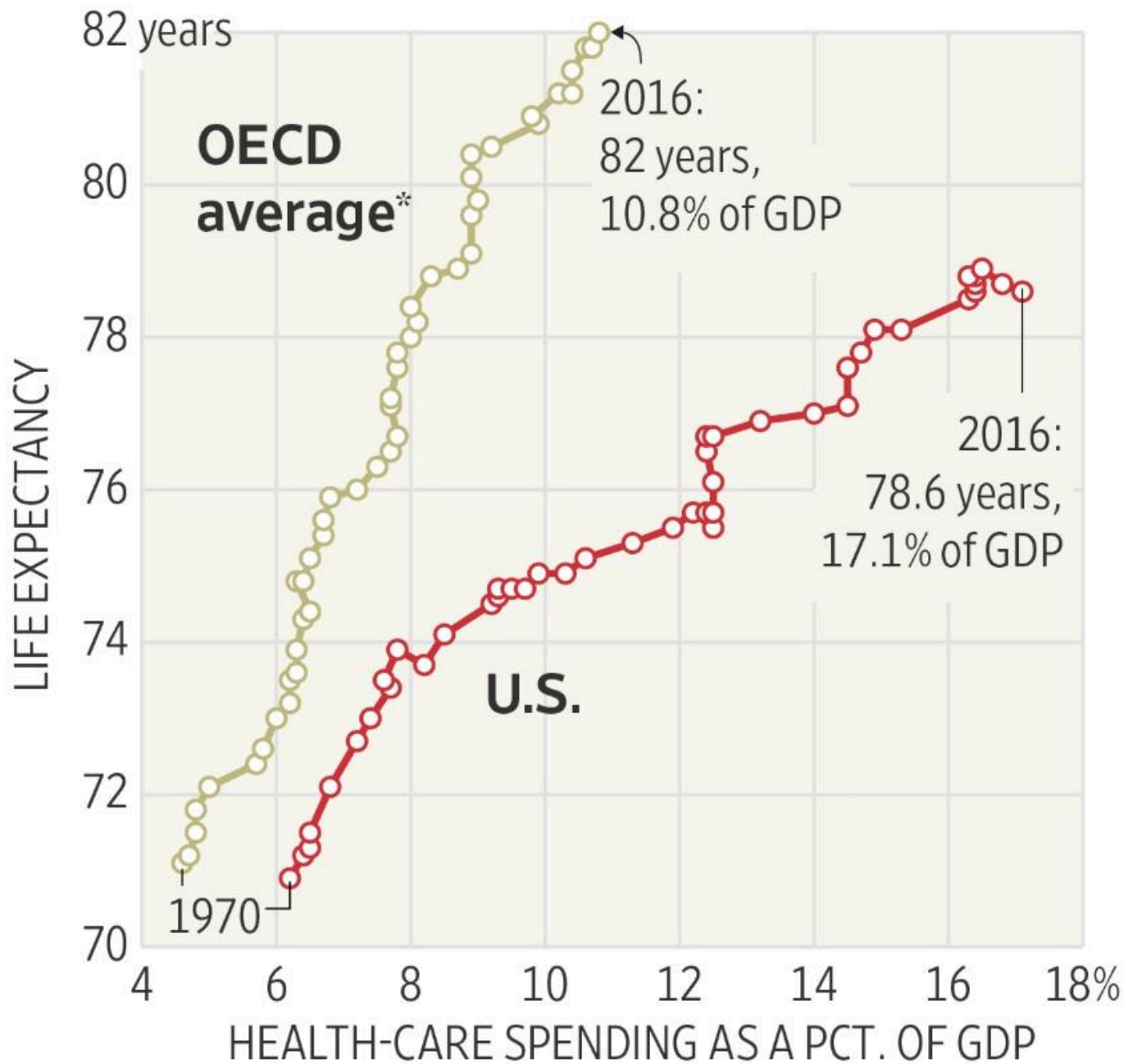


Source: <https://www.cutoday.info/Fresh-Today/New-Study-Shows-Where-Rent-is-Most-Expensive-Least-Expensive-in-U.S>

Medical Care

In 1960, America's health spending as a share of GDP was not much different from other countries'. By 2016, America's health spending share had far surpassed other countries' — yet its life expectancy was lower than theirs, showing that at the level of society as a whole, American medical care is both expensive and ineffective.

The U.S. spends more of its GDP on health care but has worse results than OECD nations



*Of 10 OECD nations with the largest per capita GDP for which data were available in all years

Source: OECD

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As for why American medical care is so expensive, United Healthcare, the private insurance company, has analysed several causes — the main ones being the high cost of hospital and physician care and the high price of prescription drugs^[8]. Yet there are two deeper causes: first, America has many health insurance companies, which are not unified and therefore cannot bargain as a single buyer; second, most American medical service providers are private hospitals, so the government finds it hard to control prices. Scholars the world over, when discussing the harms of marketised medicine, all take America as the foremost example:

A 2024 study by the Kaiser Family Foundation (KFF) notes that most US health spending goes to hospital and physician care. Nearly a third of health spending goes to hospital inpatient care, and nearly 20% to physician and clinic care. The report notes that, compared with other large wealthy countries, America's high spending on inpatient and outpatient care explains most of its higher overall health spending. The KFF report also compares America with other large wealthy countries; the results show little evidence that Americans use more health care services. In fact, Americans' average hospital stays are typically shorter and their physician visits fewer. The authors therefore conclude: "A large part of the difference in health spending between the United States and its peer countries lies in higher prices, not higher utilisation of health services." Since 2009, the average retail price of brand-name prescription drugs has more than doubled after adjusting for inflation. Over the past decade, the average annual price of specialty drugs has tripled, from nearly \$18,000 to more than \$52,000.

Can China's Workers of 2024 Live Like American Workers of 1960?

In 1960, America's urbanisation rate was 70%, manufacturing was 28.4% of GDP, and it was the world's largest industrial country. In 2024, China's urbanisation rate is 67%, and manufacturing is about 26% of GDP. In 1957, the US trade surplus was \$6.1 billion (current prices)^[9], equivalent to \$661 billion in 2024 dollars. China's trade surplus in 2024 was \$1.2 trillion. Considering that total world trade in the 1960s was much smaller than in 2024, the America of that time, like China today, was a country with strong industry that exported goods abroad. It is therefore appropriate to compare today's China with the America of 1960.

In an earlier answer I calculated the value added produced per hour as a basis for dividing classes. Let me use this data to analyse whether, if China reached the American labour share of 1960, Chinese workers' living standards could match those of American workers in the 1960s:

Taking 2024 as an example, China's total GDP was 134.9084 trillion yuan. Value added must subtract fixed-capital depreciation; but since the income-approach GDP has not been published for years (mainly because it contains the labour share, which is sensitive — just like today's birth data), one may have to buy it, so it can only be estimated from other sources. According to some papers, China's fixed-capital depreciation share has gradually risen from 5% to over 10%; referring to Jiangxi's data, and

considering that the depreciation rate rises as the fixed-capital stock grows, depreciation is estimated at 15%. That is, the value newly created by Chinese labour in 2024 was $134.9084 \text{ trillion} \times 0.85 = 114.6721 \text{ trillion yuan}$. Chinese workers' total annual working hours were $73.439 \text{ million} \times 2,555 \text{ hours} = 187.636645 \text{ billion hours}$. Dividing the total new value of 114.6721 trillion yuan by 187.636645 billion hours gives 66.11 yuan. Source: "How to evaluate Madu's concept of the 'pseudo-middle class'?"

According to the China Population and Employment Statistics Yearbook 2024, the Chinese work on average 49 hours per week, 2,555 hours per year. At 66.11 yuan per hour, the total annual value created is 168,911 yuan. Referring to the American labour share of 65% in 1965, the annual income would be 109,792 yuan. Using the World Bank's purchasing-power parity of 3.5 yuan per dollar, the average labour compensation equals \$31,369, or about \$2,962 in 1960 dollars — higher than the median American worker's wage of \$2,571 in 1960. For a family of four with two wage earners, income would reach \$5,924, also above the \$5,600 of American worker families. If China's internal economic relations were adjusted so that the balance of class forces reached America's 1960 level, then on the whole the income of Chinese workers in 2024 would be no lower than that of American workers in 1960.

In terms of actual living standards, China's medical spending is probably about the same as America's in 1960, but housing purchase spending is still higher. If house prices continue to fall, to about twice the annual family income ($11,900/5,600$), i.e. roughly 400,000 yuan for a home ($109,792 \times 2 \times 2$), then the actual living standards of the Chinese working class would be close to America's. That is still somewhat difficult for a country that remains dependent on land finance.

On the whole, before a country completes its industrialisation, the development of the productive forces is the most pressing task — making the cake bigger, as it were. But once industrialisation is complete, the question of dividing the cake becomes especially urgent. America's history after 1980 has shown that continuing to enlarge the cake does not necessarily give people a good life. If the prices of non-necessities like housing and medical care are not controlled, life may even get worse.

Notes

[1] Since 1947, average total family income in current dollars has increased from \$3,000 to \$5,600, or by 85 percent. In terms of constant (1960) dollars, the median family income increased from \$4,000 in 1947 to \$5,600 in 1960, or by 40 percent.

中文原文： Since 1947, average total family income in current dollars has increased from \$3,000 to \$5,600, or by 85 percent. In terms of constant (1960) dollars, the median family income increased from \$4,000 in 1947 to \$5,600 in 1960, or by 40 percent.

<https://www2.census.gov/library/publications/1962/demographics/p60-37.pdf>

[2] National Average Wage Index (Social Security Administration)

中文原文: National Average Wage Index

<https://www.ssa.gov/oact/cola/AWI.html>

[3] The vehicle industry's 460,798 production and related workers covered by the study averaged \$2.90 an hour. Approximately half of the workers were in Michigan and averaged \$2.92 an hour; workers in the rest of the North Central region averaged \$2.89, and those in the West, \$2.83.

中文原文: The vehicle industry's 460,798 production and related workers covered by the study averaged \$2.90 an hour. Approximately half of the workers were in Michigan and averaged \$2.92 an hour; workers in the rest of the North Central region averaged \$2.89, and those in the West, \$2.83.

<https://www.nps.gov/common/uploads/teachers/lessonplans/Wages%20in%20Motor%20Vehicle%20and%20Parts%20Plants,%20April%201963.pdf>

[4] As applied to 1966 incomes, the poverty level of nonfarm residents ranges from \$1,560 for a woman 65 years or older living alone to \$5,440 for a family of seven or more persons; it was \$3,335 for a nonfarm family of four.

中文原文: As applied to 1966 incomes, the poverty level of nonfarm residents ranges from \$1,560 for a woman 65 years or older living alone to \$5,440 for a family of seven or more persons; it was \$3,335 for a nonfarm family of four.

<https://www2.census.gov/library/publications/1968/demographics/p60-54.pdf>

[5] CPI Inflation Calculator (in2013dollars.com)

中文原文: CPI Inflation Calculator

<https://www.in2013dollars.com/us/inflation/1960?endYear=2024&amount=100>

[6] Consumer Expenditures — 2024 (BLS)

中文原文: Consumer Expenditures--2024

<https://www.bls.gov/news.release/cesan.nro.htm>

[7] "How much home prices have risen since 1950" (better.com)

中文原文: How much home prices have risen since 1950

<https://better.com/content/how-much-home-prices-have-risen-since-1950>

[8] "Get the facts: Why is health care so expensive in America?" (United Healthcare)

中文原文: Get the facts: Why is health care so expensive in America?

<https://www.uhc.com/news-articles/newsroom/why-is-healthcare-so-expensive>

[9] In 1957, the United States experienced its only payments surplus of the 1950s (Table 2). As shown in Table 3, the major cause of this overall surplus was the exceptionally high level of merchandise exports, providing a trade surplus of \$6.1 billion and a surplus on goods and services of \$5.8 billion.

中文原文: In 1957, the United States experienced its only payments surplus of the 1950's (Table 2). As shown in Table 3 the major cause of this over-all surplus was the exceptionally high level of merchandise exports providing a trade surplus of \$6.1 billion and a surplus on goods and services of \$5.8 billion.

https://fraser.stlouisfed.org/files/docs/publications/frbslreview/rev_stls_196103.pdf

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